

pointment of A. and B. as new trustees, and merely state that A. and B. "have become entitled to the mortgage, and have required C. and D. to convey and assign to them." But this last method is by no means free from difficulty. The degree of inaccuracy of statement is perhaps no greater than that involved in the original joint account clause; but the absence of consideration creates embarrassment, and there seems room for contention by a future purchaser of the mortgaged estate that he has a right to know *how* A. and B. became entitled. Another mode is to recite that C. and D. are possessed of the mortgage moneys and security *in trust for A. and B.* to whom the same belong on a joint account, and who are desirous of having the same vested in them; a method affording a greater prospect of success than those previously mentioned, and on the whole perhaps to be preferred. [This mode of effecting the transfer has recently been approved, and the Court expressed an opinion that purchasers were entitled to rely on such a recital as a protection against any trusts which might affect the property (a).]

71. **Mortgage where the trust is disclosed.** — Where trust-money is secured upon a mortgage and the trust appears upon the title, the mortgagor generally requires a [statutory acknowledgment of the right to] production of the settlement for the purpose of satisfying a future purchaser that the estate has been discharged, and it is conceived that the trustee should give such [an acknowledgment.

72. **Friendly society.** — If the trustees of a friendly society lend the funds of the society on personal security not authorised by the Friendly Societies Act, 1875, the transaction is not an illegal contract upon which the trustees cannot sue, but amounts only to a breach of trust on the part of the trustees (b).]

73. **Scale must be held evenly by the trustees.** — Where *successive estates* are limited, the scale in investments should

[(a) *Re Harman and Uxbridge, &c.*
Railway Company, 24 Ch. D. 720,
726.]

[(b) *Re Coltman*, 51 L. J. N. S.
Ch. 3; 45 L. T. N. S. 392; reversing
S. C. 50 L. J. N. S. Ch. 721; 29 W.
R. 923.]